INTERNAL COMMUNICATION
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POLICY NUMBER: **FP-FIN-010**

FINANCING RECEIVABLE ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton's") accounting for financing receivables in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

This policy documents how Hilton will evaluate financing receivable instruments entered into with third parties and provides a framework in assessing the collectability and credit risk of financing receivables.

SCOPE

A financing receivable instrument is a contractual right to receive money either upon demand or on a fixed or determinable date. Types of financing receivable instruments include a loan given to a third party, a letter of credit given to a third party, key money provided to a hotel or resort owner prior to hotel opening or a payment plan reached between Hilton and a hotel or resort owner.

Equity instruments are carefully evaluated to determine if the instrument meets the criteria to be classified as a financing receivable. If an equity instrument meets the criteria to be classified as a financing receivable (i.e., is due upon demand or has a fixed or determinable due date), the instrument is within the scope of this policy.

APPLICABILITY

This policy applies to all Finance and other personnel proving a loan, loan commitment or financing to a third party.

EXCLUSIONS/ EXCEPTIONS

This policy excludes the following:

- Intercompany transactions.
- Non-consolidated transactions at joint ventures or other variable interest entities (“VIEs”) (refer to **FP-FIN-029—Variable Interest and Voting Interest Entities Accounting Policy**).
- Investments in equity securities (refer to **FP-FIN-004—Equity Securities Accounting Policy**).
- Trade receivables and deferred fees (refer to **FP-FIN-032—Accounts Receivable—Allowance for Credit Losses Accounting Policy** and **FP-FIN-030—Revenue Recognition—Management & Franchise Contracts Accounting Policy**)
    - Trade receivables and deferred fees differ from financing receivable instruments as they arise from the sale of goods or services. A deferred fee is any arrangement in which Hilton’s fee may be subordinated to other payments that the Owner may be required to make.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

Process Owners should ensure they are following the latest consultation requirements via the management or franchise agreement checklist. Also refer to Hilton’s **FP-FIN-400—Global Deal Approval Policy** for other required communication with TA.

TA must also be notified if Hilton or one of its consolidated ventures or similar entities:

1. Executes a financing receivable instrument with a third party.
2. Modifies or refinances an existing financing receivable instrument.
3. Enters into a payment plan for a period greater than one year and the amount due to Hilton is greater than $1 million.
4. Provides a contingent loan commitment or guarantee to a hotel owner or other third party.

INITIAL RECOGNITION AND MEASUREMENT

a. Evaluation of Financing Receivables

Some financing receivable agreements contain unusual terms or features that could affect the accounting or disclosure requirements. Examples of such features include, but are not limited to embedded derivatives, interest rates, paid-in-kind interest, and revolving credit arrangements.

Embedded Derivatives

Any terms that can result in a change in either the amount and/or timing of cash, other value flows (e.g., equity conversion) or settlements of the financing receivable are classified as an embedded derivative. For example, a financing receivable agreement may grant Hilton the right to purchase the borrower entity or hotel for a dollar in the event the borrower defaults on their outstanding third-party loan secured by the hotel.

An embedded derivative is required to be accounted for as a derivative instrument separate from the financing receivable instrument if all of the following criteria are met:

- The economic characteristics and risks of the embedded derivative are not clearly and closely related to the inherent economic characteristics and risks of the financing receivable instrument.
  - For example, an interest rate floor within the financing receivable instrument that alters the net payments due would likely be considered clearly and closely related to the financing receivable instrument if certain conditions do not exist[1] and would not meet this criterion.
- The host contract including the embedded derivative is not remeasured at fair value ("FV").
- A separate instrument with the same terms as the embedded derivative is considered a derivative instrument in and of itself (refer to **FP-FIN-039 Derivatives & Hedging Accounting Policy**).[2]

Interest Rates

The determination of the appropriate interest rate needs to be evaluated if the stated interest rate within the agreement is:

- Increasing - The rate increases upon the borrower's option to extend maturity date.
- Not stated - No interest rate is stated explicitly within the agreement and must be implicitly calculated.
- Unreasonable - The stated rate differs significantly from the market interest rate or the stated face amount of the financing receivable is materially different from the current cash sales price for the same or similar items or from the market value of the financing receivable at the date of the transaction.

Paid-in-Kind Interest

Some financing receivable instruments may require or permit the borrower to make interest payments in the form of an additional borrowing. With these instruments, instead of receiving cash when each interest payment is due, the interest payment becomes an additional borrowing which will then begin to accrue interest income at the same interest rate as the underlying financing receivable instrument. The accrued interest and principal is generally only due at maturity.

Revolving Credit Arrangements

A revolving credit arrangement allows the borrower to borrow up to a specified credit limit without having to reapply for a loan each time the borrower needs cash. As the borrower repays the money borrowed, it becomes available to be borrowed again. Careful consideration should be given when determining the current or non-current classification of the revolving credit arrangement.

b. Issuance of a Financing Receivable without Other Arrangements

The initial issuance of a financing receivable to a third party is a balance sheet transaction only. The initial financing receivable is recorded at the stated principal balance when it is issued solely in exchange for cash and no other right or privilege is exchanged (i.e., no other agreements are entered into between Hilton and the third party).[3]

[1] *ASC 815-15-25-26. Derivatives and Hedging, Embedded Derivatives, Recognition*
[2] *ASC 815-15-25-1, Derivatives and Hedging, Embedded Derivatives, Recognition*
[3] *ASC 310-10-30-2, Receivables, Overall, Initial Measurement*

c. *Issuance of a Financing Receivable in Conjunction with Other Arrangements*

Generally, Hilton will not issue a financing receivable solely in exchange for cash. Instead, Hilton will issue a financing receivable to a third party in conjunction with entering into or amending another agreement with that third party, such as a management agreement ("MA") or franchise agreement ("FA"), in order to incentivize them to enter into or to amend the other agreement. In these circumstances, the stated interest rate of the financing receivable is generally not equal to the market interest rate and Hilton may need to recognize a discount or premium.[4]

d. *Discount or Premium*

A discount or premium is the difference between the present value of the cash flows of the financing receivable discounted at the contractual interest rate and the present value of the cash flows of the financing instrument discounted at the market interest rate. The present value of the cash flows includes both the principal payment(s) and any interest payment(s). A discount is when the contractual interest rate is less than the market interest rate. A premium is when the contractual interest rate is greater than the market interest rate.[5]

For financing receivables issued by Hilton in conjunction with other fee arrangements, such as an MA or FA, in which the financing receivable was issued at a discount, the discount is generally considered a contract acquisition cost ("CAC") if the benefit Hilton expects to receive from the fee arrangement (i.e., the net present value ("NPV") of future cash flows) is in excess of the discount provided. If the benefit Hilton expects to receive is less than the discount provided, the discount, up to the value of the benefit Hilton expects to receive, is generally considered a CAC and the remainder is expensed at the issuance of the financing receivable. Refer to **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for details.

Illustration 1 – Contractual Interest Rate is less than the Market Interest Rate

Facts:

ABC Company ("ABC") issued a loan to a hotel owner with a face value of $5 million for a three-year term with an annual contractual interest rate of 10%. Interest on the loan accrues on a monthly basis with all accrued interest and principal of the loan due in full upon maturity. Upon ABC evaluating the current lending environment and the hotel owner's credit risk, ABC determined that the market interest rate for a similar loan to this hotel owner would be an annual interest rate of 15%.

Analysis:

Since the loan to the hotel owner was not issued at market rates, ABC will need to recognize a discount on the financing receivable equal to the difference between the present value of the future cash inflows related to the financing receivable (i.e., both interest payments and principal payments) discounted at the market interest rate and the contractual interest rate.

Conclusion:

Using the market interest rate of 15% and the contractual cash flows of the loan, ABC determined that the present value of the loan is $4.3 million. Therefore, when ABC issues the loan to the hotel owner, ABC will record the financing receivable at its discounted value of $4.3 million.

Dr. Financing Receivable	$4.3 million	
Dr. CAC Asset and/or Expense[1]	$0.7 million	
Cr. Cash		$5.0 million

[1]In determining the offsetting entry for the discount, Hilton considers whether it entered into an MA or FA in conjunction with the issuance of the loan to the hotel owner. In the instance where there is sufficient value to support a CAC asset, an asset is capitalized. Otherwise, the discount is expensed at the issuance of the loan.

e. *Allowance for Credit Losses*

Estimating the Allowance for Credit Losses

At the inception of a financing receivable, Hilton will record an estimate for an allowance for credit losses that represents the amount Hilton does not expect to collect on the financing receivable over its contractual term.[6] The allowance is based on the recorded amortized cost basis of the financing receivable, excluding any premiums or discounts on the financial asset[7] and considers available information relevant to estimating the collectability of cash flows. Such information could include, but is not limited to, internal information, external information, historical information, current conditions, reasonable and supportable forecasts[8] and any credit enhancements provided to Hilton.[9] Using this information Hilton will estimate the allowance for credit losses for financing receivables on an individual basis using a probability-of-default method. This method estimates the expected credit losses based on the likelihood the customer will default on its obligation to Hilton and the amount Hilton believes it is likely to not collect on the financing receivable.

For example, if a $1.0 million loan is given to a hotel owner, Hilton may estimate the likelihood of the hotel owner defaulting on its loan is 25%. In the case the hotel owner does default, Hilton also estimates it will only be able to collect 60% of the loan, resulting in a loss severity of 40% of the loan balance. Hilton will apply the probability-of-default method to estimate credit losses on the loan by multiplying the $1.0 million amortized cost basis of the loan by the 25% likelihood that the hotel owner will default on the loan and the 40% estimated loss severity if the hotel owner defaults, resulting in estimated credit losses of $0.1 million.

If the financing receivable has not yet been provided to a customer or other counterparty but Hilton cannot unconditionally cancel its commitment, Hilton's commitment is considered to be an off-balance sheet commitment. Off-balance sheet commitments could include but are not limited to:

- Loan commitments.
- Line-of-credit arrangements.
- Financial guarantees in which Hilton has taken on an irrevocable undertaking to guarantee payment of a specified financial obligation of a third party.[10]

For all off-balance sheet commitments, Hilton will estimate an allowance for credit losses using the probability-of-default method as discussed above but would also include a factor for the amount or percentage of the off-balance sheet commitment Hilton estimates it will have to pay to the third party.[11] For example, if a $1.0 million letter of credit is given to a hotel owner, Hilton would estimate the how much or what percentage of the $1.0 million it expects it will have to pay to the hotel owner.

If the off-balance sheet commitment is either a financial guarantee or a contingent loan commitment, refer to **FP-FIN-026—Guarantees Accounting Policy** for the initial measurement of the noncontingent component (i.e., Hilton's obligation to stand-ready to perform) of the off-balance sheet commitment. Only the contingent component (i.e., Hilton's obligation to make a future payment upon the triggering of an event or condition) is within the scope of this policy.

Recognizing the Allowance for Recorded Financing Receivables

Upon Hilton paying the cash to a third party and recognizing a financing receivable, Hilton will record an allowance for the expected credit losses in a valuation account that reduces the balance of the recorded financing.[12] The offset to the allowance for expected credit losses is dependent upon whether Hilton also entered into a fee arrangement (e.g., an MA or FA) in conjunction with providing the financing receivable.

If Hilton also entered into a fee arrangement and the benefit Hilton expects it will receive from the fee arrangement (i.e., the NPV of future cash flows) is in excess of the expected credit losses, the offset to the allowance for expected credit losses is generally considered a CAC and is recognized as an intangible asset. If the benefit Hilton expects to receive is less than the expected credit losses, the offset to the allowance for expected credit losses, up to the value of the benefit Hilton expects to receive, is generally considered a CAC and is recognized as an intangible asset with the remainder recognized as an expense within 'Other non-operating income (loss), net' in the Consolidated Statement of Operations. See **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for additional information on accounting for CAC.

If Hilton did not enter into a fee arrangement in conjunction with providing the financing receivable, then the offset to the allowance for expected credit losses is recognized as an expense within 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.

[4] *ASC 835-30-25-5 through 25-6, Interest, Imputation of Interest, Recognition*
[5] *ASC 835-30-25-5 through 25-6, Interest, Imputation of Interest, Recognition*
[6] *ASC 326-20-30-1 and 30-6, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[7] *ASC 326-20-30-5, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[8] *ASC 326-20-30-7, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[9] *ASC 326-20-30-12, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[10] *ASC 326-20-15-2(c), Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[11] *ASC 326-20-30-11, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[12] *ASC 326-20-30-1, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*

Recognizing the Allowance for Off-Balance Sheet Commitments

For off-balance sheet commitments (e.g., debt guarantees and letters of credit), Hilton will record an allowance for expected credit losses as a liability upon the guarantee becoming active.[13] The offset to the liability is dependent upon whether Hilton also entered into a fee arrangement (e.g., an MA or FA) in conjunction with providing the off-balance sheet commitment.

If Hilton also entered into a fee arrangement and the benefit Hilton expects to receive from the fee arrangement (i.e., the NPV of the future cash flows) is in excess of the expected credit losses, the offset to the liability is generally considered a CAC and is recognized as an intangible asset. If the benefit Hilton expects to receive is less than the expected credit losses, the offset to the liability, up to the value of the benefit Hilton expects to receive, is generally considered a CAC and is recognized as an intangible asset with the remainder recognized as an expense within 'Other non-operating income (loss), net' in the Consolidated Statement of Operations. See **FP-FIN-003—Contract Acquisition Cost Accounting Policy** for additional information on accounting for CAC.

If Hilton did not enter into a fee arrangement in conjunction with providing the off-balance sheet commitment, then the offset to the liability is recognized as an expense within 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.

SUBSEQUENT MEASUREMENT

a. Interest Income

Interest income is calculated using the effective interest method and results in the recognition of interest income equal to a constant rate of interest that is applied to the carrying amount of the financing receivable at the beginning of each period.[14] In applying the effective interest method consideration is given to:

- The market interest rate, which may differ from the stated interest rate.
- Changes in interest rates throughout the term of the instrument.
- Whether interest is paid-in-kind.
- The total term of the instrument including any extension options.

The difference between the interest income calculated using the market rate of interest and the interest income calculated using the contractual rate of interest on the outstanding amount of the financing receivable is the amount of periodic amortization of the discount or premium.[15]

[13] *ASC 326-20-30-11, Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[14] *ASC 835-30-35-2, Interest, Imputation of Interest, Subsequent Measurement*
[15] *ASC 835-30-35-3, Interest, Imputation of Interest, Subsequent Measurement*

Illustration 2 – Contractual Interest Rate is Less Than the Market Interest Rate

Facts:

Assume the same facts in **Illustration 1**. It is now the end of the first year of the loan and ABC needs to record the interest income earned on the loan that was given to the hotel owner.

Analysis:

ABC determined it should apply the effective interest method in calculating the interest income to be recognized during the first year of the loan. The difference between the interest income calculated using the market rate of interest and the interest income calculated using the contractual rate of interest on the outstanding amount of the financing receivable is the amount of the periodic amortization of the discount recognized as additional interest income.

Conclusion:

ABC calculated the interest income earned on the loan based on the loan's face value of $5.0 million and the annual contractual interest rate of 10% to be $0.5 million. The calculated interest income earned on the loan based on the loan's discounted value of $4.3 million and the annual market interest rate of 15% is $0.7 million. Therefore, ABC will recognize interest income equal to $0.7 million and will reduce the discount on the financing receivable by $0.2 million in Year 1.

Dr. Financing Receivable[1]	$0.2 million	
Dr. Accrued Interest Income	$0.5 million	
Cr. Interest Income[2]		$0.7 million

[1]Represents the periodic amortization of the discount. By the end of the three-year period, the financing receivable carrying value will be accreted up to the contractual principal amount of $5.0 million.

[2]Calculated based on the fact that the interest on the loan accrues on a monthly basis, not an annual basis, as noted in **Illustration 1**.

b. Modification

When Hilton enters into a modification or exchange of a financing receivable instrument, the resulting cash flows can be affected by changes in principal amounts, interest rates, or maturity. They can also be affected by fees exchanged between Hilton and the borrower to effect changes in the terms of the financing receivable (e.g., debt covenants or recourse features).

To determine whether the modification is accounted for as a separate financing receivable or as a modification to the current financing receivable, the present value of the cash flows under the terms of the new financing receivable is compared to the present value of the cash flows under the terms of the original financing receivable using the effective interest rate of the original financing receivable. If the difference in the present value of those two cash flows is at least 10% and the effective yield on the new financing receivable is at least equal to the effective yield for similar financial instruments, the modification is accounted for as an extinguishment of the existing financing receivable and an issuance of a new financing receivable.[16,17] The present value of the new financing receivable is used to calculate the gain/loss on the extinguishment of the original financing receivable. Any remaining discounts or premiums related to the extinguished financing receivable that have not been fully recognized through interest income should be included within the gain/loss calculation.

If the difference in the present value of those two cash flows is less than 10% and based on other facts and circumstances surrounding the modification it is determined that the original financing receivable and new financing receivable are not substantially different, Hilton will account for the changes to the financing receivable as a modification and a new effective interest rate is calculated based on the carrying amount of the original financing receivable instrument and the revised cash flows.

c. Allowance for Credit Losses

For off-balance sheet commitments that are either a financial guarantee or a contingent loan commitment, refer to **FP-FIN-026—Guarantees Accounting Policy** for guidance regarding the subsequent measurement of the noncontingent component of the off-balance sheet commitment.

At each reporting period Hilton will reassess its allowance for credit loss on its financing receivables, including its off-balance sheet commitments, based on any new information since the previous reporting period. Any adjustment necessary to adjust

[16] ASC 310-20-35-9 through 35-11, Receivables, Nonrefundable Fees and Other Costs, Subsequent Measurement
[17] ASC 470-50-40-10, Debt, Modifications and Extinguishments, Derecognition

the allowance, or in the case of off-balance sheet commitments, the liability, to the new estimate is recorded as an increase or decrease to 'Other non-operating income (loss), net' in the Consolidated Statement of Operations for financing receivables, including off-balance sheet commitments.[18]

DERECOGNITION

a. Repayment of the Financing Receivable at Maturity

When a financing receivable is settled at maturity or contractual principal payments are made, the financing receivable and accrued interest receivable are relieved (credited). The allowance for credit losses recorded for the financing receivable is also relieved with a debit to the allowance and a credit to 'Other non-operating income (loss), net' in the Consolidated Statement of Operations. See example below.

Illustration 3 – Contractual Principal Payments

Facts:

Assume the same facts in **Illustration 1**. It is now the end of the third year, and all accrued interest and principal of the loan are due in full. ABC currently has a financing receivable outstanding with a gross balance of $5.0 million and a related accrued interest receivable with a gross balance of $1.7 million. At the due date, ABC has a recorded allowance for credit losses on the financing receivable and related accrued interest receivable of $0.1 million. ABC has already recognized the final interest income that resulted in the discount balance being amortized to zero. Hilton received a final payment from the third party of $6.7 million for the full settlement of the outstanding financing receivable and accrued interest.

Conclusion:

The entry to record the final receipt to settle the financing receivable would be as follows:

Dr. Cash	$6.7 million	
Dr. Allowance for Credit Losses	$0.1 million	
Cr. Accrued Interest Income		$1.7 million
Cr. Financing Receivable		$5.0 million
Cr. Other non-operating income (loss), net		$0.1 million

b. Expiration of an Off-Balance Sheet Commitment (Partially Funded or Not Funded)

In the period an off-balance sheet commitment expires, Hilton will relieve the liability for expected credit losses associated with that off-balance sheet commitment.[19] When the liability for expected credit losses is relieved a benefit is recognized within 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.

Illustration 4 – Expiration of Non-funded Off-Balance Sheet Commitment

Facts:

ABC Company ("ABC") provided a $5.0 million debt guarantee to a hotel owner's lender on the 3-year loan the lender provided to the hotel owner. At inception of the debt guarantee (i.e., when the loan was provided to the hotel owner by the lender), ABC estimated the likelihood of the hotel owner defaulting on its loan and having to pay the full $5.0 million to the lender to be 25%. If the hotel owner does default, ABC estimated it would only be able to collect 60% of the $5.0 million, resulting in an expected loss of 40% on the debt guarantee, or $2.0 million. Based on the 25% likelihood of default, ABC recognized a liability of $0.5 million at the inception of the debt guarantee. Upon maturity of the hotel owner's loan at the end of year 3 the hotel owner fully repaid their loan. As such, ABC did not have to pay out under the debt guarantee.

Conclusion:

The entry to record the expiration of the off-balance sheet commitment would be as follows:

Dr. Accounts payable, accrued expenses and other	$0.5 million	
Cr. Other non-operating income (loss), net		$0.5 million

[18] *ASC 326-20-35-1 and 35-3, Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*
[19] *ASC 326-20-45-2, Financial Instruments—Credit Losses, Measured at Amortized Cost, Other Presentation Matters*

c. Repayment of the Financing Receivable Prior to Maturity

Hilton may receive settlement of an outstanding financing receivable prior to the financing receivable's maturity. When a financing receivable is settled early, the difference between the final settlement amount and the net carrying amount of the financing receivable, inclusive of any discounts or premiums, is recognized in the period of settlement as a gain or loss. Additionally, any recorded allowance for credit losses associated with the financing receivable is derecognized with the offset recorded as a credit to 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.

d. Write-Offs of Financing Receivables or Off-Balance Sheet Commitments

Hilton maintains its financing receivables on its general ledger until the earlier of receipt of payment or determination the financing receivable is uncollectable. Financing receivables are written off in the period they are determined to be uncollectable.[20] If the customer is in bankruptcy, Hilton will maintain the financing receivable on its general ledger until the finalization of priority in the bankruptcy is determined and the amount to be received indicates it will be less than the outstanding balance.

When a financing receivable is written off, the financing receivable and any corresponding allowance for credit losses are removed from the general ledger with any difference recorded as 'Other non-operating income (loss), net' in the Consolidated Statement of Operations. All amounts written off are documented and tracked at the customer level.

When an off-balance sheet commitment is terminated prior to Hilton funding any amounts to a customer or other counterparty, the corresponding allowance for credit losses liability is written off from the general ledger with a credit recognized to 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.

e. Recoveries of Write-Offs

In certain cases, Hilton may receive a cash payment for a financing receivable that was previously written off (i.e., a recovery of the financing receivable). Hilton records recoveries of financing receivables previously written off when cash is received as a credit to 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.[21] All recoveries of financing receivables previously written off are documented and tracked at the customer level.

PRESENTATION

a. Financing Receivable

Hilton recognizes financing receivables and accrued interest receivables within 'Other non-current assets' in the Consolidated Balance Sheet for the principal balance and any accrued interest that is not due within the next 12 months and within 'Other current assets' in the Consolidated Balance Sheet for the principal balance and accrued interest that is due within the next 12 months.[22] Hilton presents the allowance for credit losses on financing receivables as an offset to the financing receivable within 'Other non-current assets' or 'Other current assets' in the Consolidated Balance Sheet, as appropriate.

b. Off-Balance Sheet Commitments

The liability for Hilton's estimated allowance for credit losses on its off-balance sheet commitments is generally recognized within 'Other long-term liabilities' in the Consolidated Balance Sheet.[23]

Additionally, if an off-balance sheet commitment is funded and a financing receivable is recorded, the allowance for credit losses liability associated with the previously unfunded off-balance sheet commitment is reclassified to a valuation account that reduces the balance of the now recorded financing receivable.[24]

[20] *ASC 326-20-35-8 – Financial Instruments–Credit Losses, Measured at Amortized Cost, Subsequent Measurement*
[21] *ASC 326-20-30-1 – Financial Instruments–Credit Losses, Measured at Amortized Cost, Initial Measurement*
[22] *ASC 210-10-45-1 and 45-4, Balance Sheet, Overall, Other Presentation Matters*
[23] *ASC 326-20-45-2, Financial Instruments–Credit Losses, Measured at Amortized Cost, Other Presentation Matters*
[24] *ASC 326-20-45-2, Financial Instruments–Credit Losses, Measured at Amortized Cost, Other Presentation Matters*

c. Discount or Premium

A discount or premium is not an asset or liability separable from the associated debt instrument. Rather, the discount or premium is reported on the balance sheet as an adjustment to the carrying amount of the underlying financing receivable.[25] Additionally, the amortization of the discount or premium is recognized within 'Other non-operating income (loss), net' in the Consolidated Statement of Operations.[26]

d. Consolidated Statements of Cash Flows

Cash receipts related to the settlement of the principal balance of a financing receivable or cash payments made related to the issuance of a financing receivable are presented within the investing activities section of the Consolidated Statement of Cash Flows.[27] Cash receipts related to interest income are presented within the operating activities section of the Consolidated Statement of Cash Flows.[28]

[25] *ASC 835-30-45-1A, Interest, Imputation of Interest, Other Presentation Matters*
[26] *ASC 835-30-45-3, Interest, Imputation of Interest, Other Presentation Matters*
[27] *ASC 230-10-45-12 through 45-13, Statement of Cash Flow, Overall, Other Presentation Matters*
[28] *ASC 230-10-45-16, Statement of Cash Flows, Overall, Other Presentation Matters*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected: Balance Sheet Line Item	Affected: Income Statement Line Item	Affected: Cash Flow Statement Section
Payment of funds related to the issuance of a financing receivable (net of any discount or premium) not in conjunction with the execution or amendment of another agreement with that third party	- Other current assets and/or Other non-current assets (debit) - Cash and cash equivalents (credit)	- N/A	- Investing Activities (Outflow)
Payment of funds related to the issuance of a financing receivable (net of any discount or premium) in conjunction with the execution or amendment of a MA or FA that provides sufficient value to support CAC	- Other current assets and/or Other non-current assets (debit) - Management and franchise contracts, net (debit) - Cash and cash equivalents (credit)	- N/A	- Investing Activities (Outflow)
Amortization of a premium	- Other current assets and/or Other non-current assets (credit)	- Interest income (debit)	- Operating Activities (reconciling item to net income)
Amortization of a discount	- Other current assets and/or Other non-current assets (debit)	- Interest income (credit)	- Operating Activities (reconciling item to net income)
Interest receipts (not paid-in-kind)	- Cash and cash equivalents (debit) - Other current assets or Other non-current assets (debit)	- Interest income (credit)	- Net income - Operating Activities (reconciling item to net income)
Interest receipts (paid-in-kind)	- Other current assets and/or Other non-current assets (debit)	- Interest income (credit)	- Operating Activities (reconciling item to net income)
Principal receipts	-Cash and cash equivalents (debit) -Other current assets and/or Other non-current assets (credit)	- N/A	- Investing Activities (Inflow)
Modification of a financing receivable accounted for as a modification and not a new financing receivable	- N/A	- N/A	- N/A
Modification of a financing receivable accounted for as the extinguishment of the current financing receivable and issuance of a new financing receivable	- Other current assets and/or Other non-current assets (debit/credit) - Cash and cash equivalents (debit/credit)	- Other non-operating income (loss), net (debit/credit)	- Investing Activities (Outflow/Inflow)

Allowance for credit losses for an outstanding financing receivable	- Other current assets and/or Other non-current assets (credit)	- Other non-operating income (loss), net (debit)	- Operating Activities (reconciling item to net income)
Allowance for credit losses for an off-balance sheet commitment	- Accounts payable, accrued expenses and other and/or Other long-term liabilities (credit)	- Other non-operating income (loss), net (debit)	- Operating Activities (reconciling item to net income)
Write-off of a financing receivable and the related allowance for credit losses	- Other current assets and/or Other non-current assets (debit / credit)	- Other non-operating income (loss), net (debit)	- Operating Activities (reconciling item to net income)
Expiration or termination of an off-balance sheet commitment	- Accounts payable, accrued expenses and other and/or Other long-term liabilities (debit)	- Other non-operating income (loss), net (credit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES
FP-FIN-003—Contract Acquisition Cost Accounting Policy
FP-FIN-004—Equity Securities Policy
FP-FIN-026—Guarantees Accounting Policy
FP-FIN-029—Variable Interest and Voting Interest Entities Accounting Policy
FP-FIN-030—Revenue Recognition—Management & Franchise Contracts Accounting Policy
FP-FIN-032—Accounts Receivable—Allowance for Credit Losses Accounting Policy
FP-FIN-039—Derivatives & Hedging Accounting Policy
FP-FIN-400—Global Deal Approval Policy

TERM/ACRONYM	DEFINITION
Amortized Cost Basis	The amount at which a financing receivable or investment is originated or acquired, adjusted for applicable accrued interest, accretion, or amortization of premium, discount, and net deferred fees or costs, collection of cash, write offs, foreign exchange, and fair value hedge accounting adjustments.
Contract Acquisition Cost (“CAC”)	Capitalized amounts incurred to obtain a new or amend an existing management or franchise contract. This is the overarching term that encompasses cash key money, maintenance payments and other capitalized costs incurred for the benefit of a customer to incentivize the customer to enter into or amend a contract. The value of the consideration provided to the customer is expected to be recovered through revenue over the term of the contract.
Contingent Loan Commitment	A contract provision that stipulates Hilton provide a loan to an owner when specified events do or not occur, such as when a minimum level of hotel operating performance for a period of time is not achieved.

Effective Interest Rate	The rate of return implicit in the financial asset, that is, the contractual interest rate adjusted for any net deferred fees or costs, premium, or discount existing at the origination or acquisition of the financial asset.
Financing Receivable	A financing arrangement that has both of the following characteristics: a. It represents a contractual right to receive money in either of the following ways: 1. On demand, or 2. On fixed or determinable dates. b. It is recognized as an asset in the entity's statement of financial position.
Line-of-Credit Arrangement	An agreement that provides the borrower with the option to make multiple borrowings up to a specified maximum amount, to repay portions of previous borrowings, and then to reborrow under the same contract. Line-of-credit and revolving-debt arrangements may include both amounts drawn by the debtor (a debt instrument) and a commitment by the creditor to make additional amounts available to the debtor under predefined terms (a loan commitment).
Loan Commitment	Legally binding commitments to extend credit to a counterparty under certain prespecified terms and conditions. Loan commitments have fixed expiration dates and may either be fixed-rate or variable-rate. Loan commitments can be either of the following: a. Revolving (in which the amount of the overall commitment is reestablished upon repayment of previously drawn amounts) b. Nonrevolving (in which the amount of the overall commitment is not reestablished upon repayment of previously drawn amounts). Loan commitments can be distributed through syndication arrangements, in which one entity acts as a lead and an agent on behalf of other entities that will each extend credit to a single borrower. Loan commitments generally permit the lender to terminate the arrangement under the terms of covenants negotiated under the agreement.
Standby Letter of Credit	An arrangement that represents an obligation to the beneficiary on the part of the issuer for any of the following: a. To repay money borrowed by or advanced to or for the account of the account party b. To make payment on account of any evidence of indebtedness undertaken by the account party c. To make payment on account of any default by the account party in the performance of an obligation.
Troubled Debt Restructuring	A restructuring of a debt in which the creditor for economic or legal reasons related to the debtor's financial difficulties grants a concession to the debtor that it would not otherwise consider.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.